

By now, we will have an exhaustive list of risks we might face. With our list of risks, if we try and get each one of them insured, we will end up paying a large portion of our income as premiums and end up being over-insured unnecessarily. We will selectively insure the risks. Let us see how we will evaluate these risks. To select the risks that need to be insured, we will answer the following two questions for every item on our list.



1

HOW FREQUENTLY DOES A RISK OCCUR?

We mean, does the risk occur every year, once in every 2-3 years, every decade, or perhaps, once or twice in a lifetime. We have to understand the frequency of the risk-based on our specific circumstances. For instance, if we live in a flood-prone zone, flood losses and related perils would be a frequent risk, occurring almost every year. However, for those living in areas where floods rarely happen, we can say that it is infrequent. Frequent risks occur once every 2-3 years while infrequent risks once in every 4-5 years.

WHAT ARE THE CONSEQUENCES IF THE RISK OCCURS?

We mean, does the risk occur every year, once in every 2-3 years, every decade, or perhaps, once or twice in a lifetime. We have to understand the frequency of the risk-based on our specific circumstances. For instance, if we live in a flood-prone zone, flood losses and related perils would be a frequent risk, occurring almost every year. However, for those living in areas where floods rarely happen, we can say that it is infrequent. Frequent risks occur once every 2-3 years while infrequent risks once in every 4-5 years.



2

Based on these two questions, we will plot each risk in one of the quadrants as shown on the next page. We will stop for a while and do this for all the risks. We will decide the appropriate treatment of the risk based on the quadrant it falls into.